

China Daily Brief

Thursday, September 17, 2026

2,874 words · 11 min read

RE: Summit countdown · Huawei's Nvidia challenge · Taiwan-Philippines coast guard ties · Xiangshan Forum · Treasury drawdown

USD/CNY
6.6961
▼ -0.15%

SSE COMPOSITE
3,875.60
▼ -0.32%

HANG SENG
24,604.29
▼ -1.40%

BRENT
\$99.43
▼ -5.91%

IN THIS ISSUE [Top Stories](#) · [US-China](#) · [The World](#) · [Beijing](#) · [Markets](#) · [Statements](#) · [Analysis](#) · [Overnight](#) · [The Wire](#) · [Upcoming](#)

• TODAY AT A GLANCE

- 1 Huawei unveiled more than 10 new AI chips and said demand already outstrips supply, escalating its challenge to Nvidia a week before the Trump-Xi summit.
- 2 China's US Treasury holdings have fallen to their lowest level since 2008, the FT reports, as Beijing keeps unwinding dollar assets ahead of Xi's Sept 24 Washington visit.
- 3 Taiwan's Coast Guard confirmed a 2027 Philippines visit and disclosed donating a patrol vessel to Manila, as Taipei opens a second quasi-diplomatic office Beijing calls 'doomed.'

TECHNOLOGY

Huawei Unveils More Than 10 New AI Chips, Says Demand Outstrips Supply

Huawei introduced more than 10 AI-related chipsets for computing infrastructure this week, including next-generation processors, escalating its challenge to Nvidia in China's AI hardware market. The company said demand for the new chips already outstrips supply, per Reuters and Nikkei Asia.

WASHINGTON POST; ALSO REUTERS, BLOOMBERG, NIKKEI ASIA

US-CHINA

China's US Treasury Holdings Fall to Lowest Level Since 2008

China's holdings of US Treasuries have dropped to their lowest level since 2008, the Financial Times reports, as Beijing continues a gradual unwind of dollar-denominated assets. The drawdown continues as the rift between the world's two largest economies deepens, a week before Xi Jinping's Washington visit.

FINANCIAL TIMES

CROSS-STRAIT

Taiwan Coast Guard Plans 2027 Philippines Visit, Confirms Vessel Donation

Taiwan's Coast Guard confirmed plans for a 2027 visit to the Philippines and disclosed donating a patrol vessel to Manila, matching prior transfers to the Marshall Islands, Palau and Tuvalu. Taipei is also opening a second quasi-diplomatic office in the Philippines, which Beijing called 'doomed,' as both face rising Chinese pressure in the South China Sea and Taiwan Strait.

BLOOMBERG; ALSO SCMP, NIKKEI ASIA

PLA

Defense Minister Dong Jun Warns Against 'Hegemony, Militarism' at Xiangshan Forum

Defense Minister Dong Jun told the Beijing Xiangshan Forum, "We must bear in mind the lessons of history and remain highly vigilant against all latent manifestations of hegemony, militarism and historical revisionism," in remarks read as veiled criticism of Japan. About 2,000 military officers, diplomats and academics from 100 countries are attending the three-day forum.

TAIPEI TIMES

SANCTIONS

US Intelligence Warns China Could Acquire F-35 Technology Via Saudi Arabia

Internal US assessments, including one from the Pentagon's Defense Intelligence Agency, warn China could acquire F-35 technology through espionage or through Beijing's military and security ties

with Saudi Arabia, the New York Times reports. The concern surfaces as Washington moves ahead with a sale of the jets to Riyadh.

NEW YORK TIMES

DIPLOMACY

Beijing Hosts Iranian Foreign Minister Days Before Trump-Xi Summit

China hosted Iranian Foreign Minister Abbas Araghchi in Beijing this week as Xi Jinping's Sept 24 Washington visit approaches, the New York Times reports. Beijing renewed calls for an end to Middle East fighting while demonstrating its influence over Tehran to Washington.

NEW YORK TIMES

-
- PRC-ECONOMY** Volkswagen's Seat Brand on the Brink as Chinese Rivals Gain Ground · Reuters
Volkswagen's Seat brand is under mounting pressure as Chinese automakers gain market share across Europe, Reuters reports. The strain adds to warnings from Jaguar Land Rover and Volvo over Chinese EV competition.
-
- CROSS-STRAIT** US, Japanese Lawmakers Agree US Must Defend First Island Chain · Taipei Times
US and Japanese lawmakers meeting in Washington agreed the US must defend the First Island Chain, including Taiwan, rather than fall back to the Second Island Chain. Participants endorsed PM Sanae Takaichi's view that Chinese force against Taiwan could be a 'survival-threatening situation' for Japan.
-
- ENERGY** Chinese Oil Prices Hit Record Highs After Saudi Pipeline Attacks · Financial Times
Chinese oil prices hit record highs after attacks on a Saudi pipeline, the FT reports. Beijing cushioned the global impact of the Iran war by drawing down stockpiles but is now 'coming off its crash diet,' per the FT.
-
- DIPLOMACY** Sinocism Addresses New Round of Xi Health Rumors · Sinocism
Sinocism's roundup addresses a fresh round of Xi Jinping health rumors, calling them 'BS' while noting reader interest ahead of his Sept 24 Washington visit. The newsletter also covers Iran's foreign minister in Beijing and US-China AI talks.
-
- PRC-ECONOMY** Hong Kong Labor Shortage Estimate Narrows to 130,000 by 2028 · SCMP
Hong Kong will be short 130,000 workers by 2028, down from a prior 180,000 estimate, labour minister Chris Sun Yuk-han said. Sun attributed the smaller gap to AI adoption and talent-import policies, even as the city's unemployment rate ticked up to 3.8%.
-
- TECHNOLOGY** Huawei Forecasts Billions of AI Agents Dominating Traffic by 2035 · Reuters
Huawei forecast that billions of AI agents will dominate AI traffic by 2035, Reuters reports. The forecast came alongside Huawei's unveiling of more than a dozen new AI chips this week as it challenges Nvidia.
-
- PLA** AI's Military Risks Draw Concern at China Security Conference · Reuters
AI's military risks drew concern at a China-hosted security conference, Reuters reports, coinciding with the Beijing Xiangshan Forum. The forum has drawn roughly 2,000 military officers, diplomats and academics from 100 countries.
-
- PRC-ECONOMY** Hong Kong's First Five-Year Plan Aims to Broaden Capital Markets · SCMP
Hong Kong's first five-year plan, unveiled by Chief Executive John Lee alongside his policy address, aims to broaden equity markets, deepen offshore yuan business and expand gold trading. The blueprint seeks to defend Hong Kong's status as Asia's top financial center against London.
-

TARIFF · AFP

Where the US-China Tariff Row Stands Ahead of the White House Summit

The effective US tariff rate on Chinese goods stood at 22.8 percent as of July, the highest among major US trading partners, including 40.5 percent on steel and aluminum, per the Penn Wharton Budget Model cited by AFP. China still maintains a 10 percent levy on all US goods, with an additional 15 percent on LNG, ahead of the Sept 24 summit.

CONGRESS · CNBC

Congress Passes Bill Threatening Tariffs on Buyers of Russian Oil

The US House passed the 'Lindsey Graham Sanctioning Russia and Iran Act of 2026' by a 262-159 vote, sending it to the White House for Trump's signature. The law would let Trump impose tariffs of up to 100 percent on countries buying Russian oil, giving him fresh leverage over China and India days before the summit.

DIPLOMACY · SCMP

Trump Presses Xi on Fentanyl Precursors Ahead of Summit

Trump urged Beijing to take 'more aggressive action' against fentanyl-precursor exports, noting in an annual report to Congress that he raised the issue 'directly' with Xi Jinping. The call comes a week after US and Chinese security agencies praised progress on counternarcotics cooperation.

MILITARY · BLOOMBERG

New US Space Weapon Adds to Arsenal to Counter Russia, China

The US disclosed a new space weapon meant to counter Russia and China, adding to Washington's orbital arsenal, Bloomberg reports. The announcement comes amid growing US concern over Chinese and Russian satellite proximity operations.

DIPLOMACY · REUTERS

Bessent Says US Open to Discussing Shared AI Risks With China

Treasury Secretary Scott Bessent said the US is open to discussing shared AI risks with China, Axios reported, ahead of the Sept 24 Trump-Xi summit. The comment adds a senior economic official to the list of US voices signaling openness to AI-safety dialogue with Beijing.

DIPLOMACY · AP

A Global AI Safety Strategy Depends on US-China Cooperation

A global AI safety strategy depends on US-China cooperation, but each side views the other as the core problem, AP reports. The dynamic complicates plans for AI guardrails ahead of the Trump-Xi summit.

DIPLOMACY · REUTERS

US, China Security Experts Propose Nuclear-Style AI Safeguards

US and Chinese security experts have proposed nuclear-arms-control-style safeguards to manage AI risks, Reuters reports. The Track Two proposal surfaces as both governments weigh AI cooperation ahead of Xi's Washington visit.

DIPLOMACY · REUTERS

US Allies Fret Over How Trump Might Play His Taiwan Hand With Xi

US allies are anxious about how Trump might address Taiwan in his Sept 24 meeting with Xi, Reuters reports. A separate Foreign Policy analysis warns a Trump-Xi deal risks effectively ending Washington's decades-old 'strategic ambiguity' policy on the island.

CROSS-STRAIT · SCMP

Retired PLA General: 'Provocation' Could Accelerate Taiwan Reunification

Retired PLA major general Luo Yuan told SCMP at the Xiangshan Forum that reunification timing depends partly on Taiwan's 'degree of provocation,' warning the island's leader had challenged Beijing's red lines. Luo said the pace also hinges on China's national strength, defense needs and the global security environment.

JAPAN · KYODO

Japan PM Sees Need to Keep Communication With China Amid Challenges

Prime Minister Sanae Takaichi said she sees a need to keep communication channels open with China amid ongoing challenges, Kyodo reports. The comment follows a Sept 17 cabinet reshuffle that retained key ministers including Foreign Minister Motegi Toshimitsu and Defense Minister Koizumi Shinjiro.

JAPAN · NIKKEI ASIA

Tokyo Game Show Sees Sharp Drop in China Exhibitors as Ties Worsen

Tokyo Game Show opened Thursday with a record number of exhibitors overall, but participation from China and Hong Kong dropped sharply as bilateral ties worsen, Nikkei reports. The decline tracks broader friction after Japan's 2026 Defense White Paper again labeled China an 'unprecedented' strategic challenge.

MIDDLE EAST · WSJ

Debris in Yemen Suggests Saudi Arabia Fired Its First Chinese Missile

Debris found in Yemen suggests Saudi Arabia fired a Chinese-made missile for the first time, the Wall Street Journal reports. The finding surfaces as Saudi Arabia deepens defense ties with Beijing alongside its traditional US security relationship.

EUROPE · FT

EU Asks China to Voluntarily Limit Hybrid Car Exports

The EU has asked China to voluntarily limit hybrid-vehicle exports to head off a trade dispute, the Financial Times reports, as cheaper Chinese vehicles continue to flood the European market. The move seeks to avert a broader tariff fight over the sector.

AUSTRALIA-PACIFIC · TAIPEI TIMES

US Backs Taiwan's Participation in Pacific Islands Forum

Taiwan's foreign ministry welcomed US backing for its participation in the Pacific Islands Forum, after the State Department said Washington opposes China's use of diplomatic and military pressure to isolate Taiwan. A US deputy assistant secretary of state said Washington shares Pacific partners' concerns about China's 'malign activities' including illegal fishing and economic coercion.

INDIA · NIKKEI ASIA

India and China Pursue Disaster Diplomacy in Flood-Hit Nepal

India and China both rushed disaster aid to flood-hit Nepal in late August, with India sending 10 metric tons of relief within hours, Nikkei reports. The competing responses illustrate ongoing India-China rivalry for influence in the Himalayan state.

INDIA · FT

Trump Family-Backed Drone Maker Signs Agreement With Pakistan

Trump family-backed drone maker Powerus signed an agreement with Pakistan that the company says will reduce Islamabad's reliance on China, the Financial Times reports, as Pakistani army chief Asim Munir deepens ties with Washington.

• STAT OF THE DAY

80%

Weekly personal AI use, China vs US

Morgan Stanley found 80 percent of Chinese survey respondents use AI for personal purposes at least weekly, versus 54 percent in the US; China's generative-AI user base reached 602 million as of December 2025, per Guancha.

Guancha (观察者网), citing Morgan Stanley

TECH / OPENAI, ANTHROPIC · CNBC

OpenAI, Anthropic Generate 10x Revenue of All Chinese AI Models Combined: Rhodium

OpenAI and Anthropic together generate roughly *10 times* the revenue of all Chinese AI models combined, Rhodium Group found, per CNBC, though low revenue does not necessarily track with lower valuations among Chinese AI firms.

FINANCE · BLOOMBERG

China Adds Currencies to Central Clearing in Yuan Push

China added more currencies to its central clearing arrangements as part of its continuing push to internationalize the yuan, Bloomberg reports.

FINANCE / HSBC · FT

HSBC Axes \$38,000 School-Fee Perk for New Hong Kong Bankers

HSBC eliminated a long-standing \$38,000 school-fee subsidy used to attract senior bankers to Hong Kong, the Financial Times reports.

MACRO · NIKKEI ASIA

1 in 4 Listed Chinese Companies Post Losses Despite Overall Profit Growth

A quarter of China-listed companies posted net losses in the first half of the year even as overall net profit grew roughly 20 percent, Nikkei reports, highlighting divergence between AI-linked winners and the rest of the economy.

AUTO / BYD · REUTERS

BYD Will Need Three Assembly Plants, One Battery Factory in Europe: Adviser

BYD will eventually need three vehicle assembly plants and one battery factory in Europe to serve the market, a company adviser told Reuters.

TECH / TENCENT, ALIBABA · GUANCHANG

Morgan Stanley: China Leads US in Consumer AI Adoption

Morgan Stanley found *80 percent* of Chinese survey respondents use AI personally at least weekly, versus 54 percent in the US; China's generative-AI user base reached 602 million by December 2025.

MANUFACTURING · REUTERS

Xi Directs Push for 'Bigger, Stronger' Advanced Manufacturing

Xi Jinping issued instructions calling for a more self-reliant, technologically advanced manufacturing base, read out at the National Conference on Advanced Manufacturing held in Beijing Sept 16-17. Premier Li Qiang and Vice Premier Zhang Guoqing addressed the conference, which focused on AI, chips and smart-factory upgrades.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · THURSDAY, SEPTEMBER 17, 2026

国防部 · MINISTRY OF NATIONAL DEFENSE · *Zhang Shengmin, CMC Vice Chairman*

Meets Indonesian Defense Minister

Zhang Shengmin held talks with Indonesia's defense minister on defense cooperation; the readout gave no further detail.

→ [MND ZH](#) ↗

中国人民银行 · PEOPLE'S BANK OF CHINA

Conducts CNY162bn 7-day reverse repo

The PBOC injected CNY162 billion via 7-day reverse repurchase operations to manage banking-system liquidity.

→ [PBOC ZH](#) ↗

外交部 · MOFA

To resubmit UN accessibility resolution

MOFA said China will again take the lead in submitting an accessibility resolution to the UN Human Rights Council, without specifying timing.

→ [MOFA presser ZH](#) ↗

国台办 · TAIWAN AFFAIRS OFFICE

Touts Pinglu Canal as ASEAN gateway for Taiwan firms

TAO said the newly built Pinglu Canal in Guangxi creates new opportunities for Taiwan-invested firms to expand into ASEAN markets.

→ [TAO ZH](#) ↗

国台办 · TAO · CROSS-STRAIT STATUS OF TAIWAN PERFORMERS

FIRM · TO TAIWAN

Zhu Fenglian '· TAO spokesperson

“Both sides of the Strait belong to one China; Taiwan is an inalienable part of China's territory. This is a historical and legal fact for both sides, and a widely shared consensus of the international community.”

两岸同属一个中国，台湾是中国领土不可分割的一部分，这是两岸的历史和法理事实，也是国际社会的普遍共识。

Prompted by a Taiwanese singer being introduced as being 'from China' at an Apple product event, with staff reportedly cautioning him not to mention it, per Sohu's report on the Sept 16 TAO briefing.

国台办 (TAO ZH)

国台办 · TAO · 'ONE COUNTRY, TWO SYSTEMS' TAIWAN PLAN

FIRM · TO TAIWAN

TAO spokesperson '· TAO spokesperson

“The earlier and more extensively Taiwan compatriots discuss the 'one country, two systems' Taiwan plan, the more opportunities it will bring.”

台湾同胞越早讨论、越多讨论“两制”台湾方案，就越能带来机遇

Comment made at a routine TAO press briefing this week, per China.com.cn.

国台办 (TAO ZH)

外交部 · MOFA · US PRESSURE ON BRAZIL AHEAD OF ITS ELECTION

CONCILIATORY · TO US

MOFA spokesperson '· MOFA spokesperson

“China always upholds the principle of non-interference in internal affairs, and wishes for Brazil's general election to proceed smoothly.”

中方一贯坚持不干涉内政原则，祝愿巴西大选平稳顺利举行

Asked about reports the US is considering sanctions on Brazilian Supreme Court judges ahead of Brazil's election, per Sohu's report on the MOFA briefing.

外交部发言人 (MOFA presser ZH)

外交部 · MOFA · HONG KONG'S INTERNATIONAL FINANCIAL-CENTER STATUS

ROUTINE · TO OTHER

MOFA spokesperson '· MOFA spokesperson

“Per MOFA: under 'one country, two systems,' Hong Kong's status as an international financial, shipping and trade center continues to be consolidated.”

“一国两制”下香港国际金融、航运、贸易中心地位持续巩固

Comment came as Hong Kong unveiled its first five-year development plan this week.

外交部发言人 (MOFA presser ZH)

● WHAT OTHERS ARE SAYING

TAIPEI TIMES/NIPPON.COM · SEPT 17, 2026

Hirofumi Takinami · Member, Japanese House of Councilors

“We were able to share the understanding that a crisis involving Taiwan is indeed a crisis for Japan and a crisis for the Japan-US alliance.”

Comment made after Japanese LDP lawmakers met US Senator Thom Tillis and Rep. Ami Bera, co-chairs of the Senate and House Taiwan caucuses, in Washington.

[source](#)

TAIPEI TIMES · SEPT 17, 2026

Mariia Makarovych · Head, East Asian Office, Liberal Democratic League of Ukraine

“That's an example that Taiwan actually believes in Ukraine, while many countries hesitated over whether we would be able to stand against the Russian army or not.”

Remarks made at a Taipei forum, where Makarovych called Russia's invasion a precedent for autocracies using force to change borders.

[source](#)

PRC-ECONOMY

BLOOMBERG

China Considers BYD for Xi's CEO Entourage to Trump Summit

Bloomberg reports China is weighing including BYD among CEOs joining Xi's delegation for the Sept 24 summit.

TECHNOLOGY

CNN

Why Is China Less Worried About AI Dystopia Than the US?

CNN reports no one in China is publicly fretting over AI-driven human extinction risk, unlike in the US.

REUTERS BREAKINGVIEWS

China's Brutal AI Economics Hold Lessons for the US

Reuters Breakingviews argues China's harsh AI unit economics hold lessons for US firms racing to build AI infrastructure.

BLOOMBERG

China's AI Stocks Face Fresh Pain From US Model Curb Push

Bloomberg reports China's AI stocks face fresh selloff risk as US rivals push for model export curbs.

DIPLOMACY

THE ECONOMIST

Real Cooperation on AI Likely to Elude China and America

The Economist argues genuine US-China AI cooperation is unlikely despite talks planned around the Sept 24 summit.

IHEART

Nvidia CEO to Attend Trump's Dinner for Xi Jinping

Nvidia's CEO will attend Trump's dinner for Xi Jinping, per iHeart, underscoring US tech industry interest in the summit.

SCMP

US Military Prepares Ceremonial Welcome for Xi at White House

SCMP reports the US military is preparing a ceremonial welcome for Xi Jinping's Sept 24 White House visit.

ENERGY

BLOOMBERG

Guangdong's Power Shift Clouds China's Gas Demand Outlook

Bloomberg reports Guangdong's power-supply shift is clouding China's near-term natural gas demand outlook.

● UPCOMING

Sep
18

Mukden Incident 95th Anniversary

Shenyang holds its annual bell-ringing ceremony marking the 1931 Mukden Incident; a Lianhe Zaobao commentary today flags it as a continuing China-Japan flashpoint.

Sep
22

UN General Assembly High-Level Week Opens

World leaders convene in New York for the annual UNGA high-level session.

Sep
24

Xi Jinping State Visit to Washington

Xi's first US visit since 2015 includes a White House dinner and a CEO delegation reportedly including BYD, Xiaomi and Innolight executives, plus AI-safety and trade talks.

Oct
1

PRC National Day, 77th Anniversary

Marks the 77th anniversary of the People's Republic of China's founding.

Nov
10

Busan Suspensions Set to Lapse

One-year suspensions of the BIS Affiliates Rule and China's Oct 2025 rare-earth export controls are due to lapse around this date unless extended.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

[Read online](#)

[Past issues](#)

You are receiving the China Daily Brief as a member of the CSIS China Programs distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

generated 7:17 AM ET

[↑ BACK TO TOP](#)

© 2026 Center for Strategic and International Studies